

**SUBSTITUTE FOR
SENATE BILL NO. 785**

A bill to amend 1979 PA 94, entitled
"The state school aid act of 1979,"
by amending section 30d (MCL 388.1630d), as amended by 2025 PA 15.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 30d. (1) From the state school aid fund money
2 appropriated in section 11, there is allocated an amount not to
3 exceed \$200,000,000.00 for 2025-2026, and from the general fund
4 money appropriated in section 11, there is allocated an amount not
5 to exceed \$1,600,000.00 for 2025-2026 only for the purpose of
6 making payments to participating entities to provide free school
7 lunch and breakfast to public school and nonpublic school pupils in
8 grades pre-K to 12.

9 (2) To receive funding under this section, a participating



1 entity must ~~participate in the National School Lunch Program and~~
2 ~~must do all of the following:~~ **be enrolled in the free school lunch**
3 **and breakfast program under section 1271 of the revised school**
4 **code, MCL 380.1271.**

5 ~~(a) Provide reimbursable breakfasts and reimbursable lunches~~
6 ~~at no cost to all students for any school breakfast program or~~
7 ~~school lunch program operated by the participating entity.~~

8 ~~(b) Submit information regarding the number of reimbursable~~
9 ~~breakfasts and reimbursable lunches served in a manner prescribed~~
10 ~~by the department.~~

11 ~~(c) Maximize federal reimbursement for reimbursable breakfasts~~
12 ~~and reimbursable lunches by operating under the CEP if the~~
13 ~~participating entity has an identified student percentage greater~~
14 ~~than or equal to the minimum requirement to be eligible to~~
15 ~~participate in the CEP. For purposes of this subdivision, all~~
16 ~~eligible participating entities must elect CEP on behalf of a~~
17 ~~single school, a group or groups of schools, or all schools in the~~
18 ~~participating entity, as applicable, in a manner that maximizes~~
19 ~~federal reimbursement.~~

20 ~~(d) Meet all applicable state and federal standards in its~~
21 ~~school breakfast and lunch programs, as determined by the~~
22 ~~department.~~

23 ~~(e) Take all efforts to maximize and implement policies that~~
24 ~~require parents or guardians to fill out relevant family income~~
25 ~~information, in a manner prescribed by the department, for the~~
26 ~~purposes of determining student eligibility for federal free or~~
27 ~~reduced cost meal reimbursement rates and CEP eligibility~~
28 ~~determinations.~~

29 ~~(f) Forgive all school meal debt related to federally~~



1 ~~reimbursable meals, as determined by the department.~~

2 ~~(3) Participating entities are encouraged to offer meals that~~
 3 ~~meet students' dietary restrictions, including the provision of~~
 4 ~~gluten-free meals, vegetarian meals, vegan meals, and, upon~~
 5 ~~request, kosher meals, halal meals, and meals meeting any allergy~~
 6 ~~restrictions as confirmed by a doctor's note. Participating~~
 7 ~~entities are encouraged to purchase food from Michigan growers when~~
 8 ~~possible and practical.~~

9 **(3) ~~(4)~~For each eligible participating entity that is**
 10 **enrolled in the free school lunch and breakfast program under**
 11 **section 1271 of the revised school code, MCL 380.1271, the**
 12 department shall pay an amount equal to the following:

13 (a) The amount equal to the federal rate per student paid per
 14 pupil per free breakfast and lunch under the Child Nutrition Act of
 15 1966, 42 USC 21 1771 to 1793, and the Richard B. Russell National
 16 School Lunch Act, 42 USC 1751 to 1769j, multiplied by the number of
 17 breakfasts and lunches provided by the participating entity to
 18 students, less the federal revenue received by the participating
 19 entity under the school breakfast program and the school lunch
 20 program under the Child Nutrition Act of 1966, 42 USC 21 1771 to
 21 1793, and the Richard B. Russell National School Lunch Act, 42 USC
 22 1751 to 1769j, and other state lunch payments received under
 23 section 31d.

24 (b) The amount equal to the federal rate per student paid per
 25 pupil per free breakfast and lunch under the Child Nutrition Act of
 26 1966, 42 USC 21 1771 to 1793, and the Richard B. Russell National
 27 School Lunch Act, 42 USC 1751 to 1769j, multiplied by the number of
 28 breakfasts and lunches provided by the participating entity, as
 29 applicable, to children participating in the ~~Great Start Readiness~~



~~Program~~**great start readiness program** under section 32d at the participating entity, less all other federal and state lunch payments made for those children. For purposes of this subdivision, compliance with 7 CFR 226.9 is required. The department shall assign rates of reimbursement pursuant to 7 CFR 226.9, at least annually, on the basis of family size and income information reported by each eligible participating entity. Assigned rates of reimbursement must be adjusted annually to reflect changes in the national average payment rates.

(4) ~~(5)~~ Notwithstanding section 17b, the department may make payments under this section on a schedule determined by the department.

(5) ~~(6)~~ As used in this section, ÷

~~(a) "CEP" means the Community Eligibility Provision under the Richard B. Russell National School Lunch Act, 42 USC 1751 to 1769j.~~

~~(b) "Participating"~~**participating** entity" means ~~a district, intermediate district, nonpublic school, or the Michigan Schools for the Deaf and Blind.~~**that term as defined in section 1271 of the revised school code, MCL 380.1271.**

(6) ~~(7)~~ In addition to the appropriations in section 11, if the amount allocated in subsection (1) is insufficient to fully reimburse districts for meals as required in this section, there is appropriated from the school meals reserve fund created in section 30e the amount necessary to fully fund these reimbursements.

Enacting section 1. This amendatory act does not take effect unless Senate Bill No. 784 of the 103rd Legislature is enacted into law.

